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General Notice 2612 of 2022.

CONSTITUTION OF ZIMBABWE

Loan Agreement between the Government of Zimbabwe and the OPEC Fund for International Development

IT is hereby notified, in terms of section 300(3) of the Constitution of Zimbabwe, as read with section 18(2) of the Public Debt Management Act [*Chapter 22:21*], that the Minister of Finance and Economic Development signed the Smallholder Agricultural Cluster Project Loan Agreement on the 12th of July, 2022, between the OPEC Fund for International Development and the Government of Zimbabwe on the terms specified in the Schedule:—

HON. PROF. M. NCUBE,
9-12-2022. Minister of Finance and Economic Development.

SCHEDULE

TERMS OF THE LOAN AGREEMENT

1. The loan amount is $15 000 000.00 (fifteen million United States dollars).
2. The Borrower is the Government of Zimbabwe.
3. The Lender is OPEC Fund for International Development.
4. Final Maturity date is 15th November, 2041.
5. The loan interest rate shall be 1% per annum.
6. Commitment fee shall be 0,5% per annum on the undrawn balance.
7. Grace period is a period of five (5) years beginning on the 12th of July, 2022.
8. Government shall pay a commitment fee at the rate of half of one percent per annum on the unwithdrawn balance. The commitment fee shall accrue 60 days from the date of agreement and is payable in the first instance within 90 days from the date of effectiveness of the agreement.
9. Interest and commitment fee shall be paid semi-annually on May 15th and November 15th in each year into the OPEC Fund Account.
10. The Borrower shall commence repayment of the Principal immediately after the Grace Period and payment shall be effected in 30 semi-annual instalments.
11. The loan will be utilised for transformation of the smallholder farming sector through value chain investments by smallholder farmers and agribusinesses, commercialization of smallholder agriculture in the key urban-rural agricultural production and food trading corridors, infrastructure development including climate proofed irrigation systems, rehabilitation of feeder roads and multipurpose community water supply and creating a conducive policy and institutional environment for smallholder agricultural transformation.